Session 31 — Consolidation and Business Combinations: Case Study, Lyradon-Velquanta

By the end of this session you must be able to apply the full IFRS10/IFRS3 framework (Sessions 28-30) to a realistic acquisition: assess whether control exists despite less than 100% ownership and despite investor veto rights, identify the acquirer and acquisition date, build a purchase price allocation from disclosed fair value adjustments, and compute goodwill.

Plan

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1. The Transaction: Lyradon Acquires 65% of Velquanta

- Lyradon Industrial Group S.p.A. (a listed Italian industrial automation group) acquires a 65% equity interest in Velquanta Systems GmbH (a German industrial sensing/connectivity technology company) under a Share Purchase Agreement dated 3 June 2024, with completion on 1 July 2024. This is the acquisition date only if control transfers then.
- Post-transaction ownership: Lyradon 65%, Alpine Ventures GmbH 30%, Management team 5% (down from founder Hans Krause 55% / Alpine Ventures 30% / management 15% pre-transaction).

Velquanta's statement of financial position at 1 July 2024 (book values, EUR'000): Assets: cash 3,000, trade receivables 6,000, inventories 4,000, PP&E 15,000 (total assets 28,000). Equity: 13,000. Liabilities: trade payables 5,000, bank loan 10,000 (total liabilities 15,000).

2. Question 1 — Does Lyradon Control Velquanta? Working Through the Three IFRS10 Elements

- Applying the Session 28 three-part control test directly to the Articles of Association extracts:

Must know (how the case facts map onto the three control elements):
• **Power:** Lyradon nominates and appoints 4 of the 6 board seats (a clear majority). Board resolutions pass by simple majority (>50% of votes cast). Lyradon's nominees also hold the Chairperson role. At a validly constituted meeting, this majority can decide the ordinary board matters listed in Section 5.04 (business plan, budgets, executive appointments, R&D strategy, commercial initiatives, M&A). However, quorum requires an Alpine-appointed director. No fallback is visible, so unilateral power cannot be concluded without assessing Alpine's ability to block meetings
• **Exposure to variable returns:** Lyradon holds 65% of the equity, giving it a variable (not fixed) share of Velquanta's profits, losses and value changes
• **Ability to use power to affect returns:** Lyradon's board majority can affect returns through Section 5.04 decisions only if the quorum requirement does not confer a substantive blocking right on Alpine

- A **65% equity stake** and **4-of-6 board majority with simple-majority voting** support control at valid meetings. They do not resolve Alpine's potential ability to block those meetings through the quorum requirement. The described facts alone do not establish sole control conclusively.

3. Question 2 — Substantive vs. Protective Rights: Alpine Ventures' Veto Rights

- Alpine Ventures GmbH (the 30% minority shareholder) holds two categories of rights that must be separately assessed:
  - one board seat, and a quorum requirement that at least one Alpine-appointed director be present; and
  - a list of "Reserved Matters" (Section 5.05) requiring Alpine's prior written consent — distributions/dividends, share redemptions/repurchases, capital reductions, and any financing/indebtedness exceeding EUR 50,000,000, plus protections against actions prejudicing Alpine's own contractual rights.

Applying the substantive-vs-protective test (Session 28): a right is **protective** — and therefore does **not** give its holder power — if it is designed only to protect the holder's interest in the investee, without conferring the ability to direct the investee's relevant activities.

Must know (assess consent rights and quorum separately):
• The Reserved Matters are concentrated in **capital structure/distribution decisions** (dividends, buybacks, capital reduction, large-scale financing above a high EUR 50m threshold) and in **preserving Alpine's own existing contractual rights** — these are the classic hallmarks of protective rights: they stop the majority from expropriating or diluting the minority's economic interest, but they do not give Alpine any say over Velquanta's *ordinary operating and strategic decisions* (the Section 5.04 board-reserved matters: budgets, executive appointments, R&D strategy, commercial contracts, M&A)
• Alpine's single vote cannot defeat a simple-majority resolution at a valid meeting. But its director's required presence for quorum may let Alpine prevent any board meeting from proceeding. Without a visible fallback, this cannot be dismissed as merely protective
• The listed capital-structure consent rights may be protective if they do not cover relevant activities. The separate quorum requirement must still be assessed for substantive blocking power. Lyradon's sole control remains conditional on resolving that issue

Watch out: the case explicitly asks what rights would change the control assessment. The existing quorum requirement already leaves a potential substantive blocking right unresolved. The natural answer, reasoning from the substantive/protective distinction: if Alpine's consent rights extended into *ordinary-course operating or strategic decisions* (e.g. requiring Alpine's approval for annual budgets, R&D programmes, or commercial contracts — the Section 5.04 board matters, not just the Section 5.05 capital-structure matters), or if the EUR 50m financing threshold were lowered enough to routinely capture Velquanta's ordinary financing activity, the rights would begin to look substantive rather than protective, potentially indicating *joint* control (IFRS11) rather than sole control by Lyradon. This is a reasoned application of the framework, not a stated conclusion in the source material.

4. Question 3 — Do We Consolidate, and From When?

- Consolidate if Lyradon has control after assessing the quorum requirement in Sections 2-3. Sole control is not established conclusively by the described majority alone.
- The stated completion date is **1 July 2024**. It is the **acquisition date** for IFRS3 only if control transfers then. Session 30, Section 5 defines the acquisition date by the actual transfer of control.

5. Question 4 — NCI Measurement Choice and the Purchase Price Allocation

Purchase price allocation, fair value adjustments identified by Lyradon's valuation specialists (EUR'000, on top of Velquanta's book equity of 13,000): PP&E uplift +3,000; developed technology +8,000; customer relationships +5,000; in-process R&D +2,000; contingent liability −1,000 (a newly recognised liability, reducing net assets). Net fair value adjustment = 3,000+8,000+5,000+2,000−1,000 = **+17,000**. Fair value of net identifiable assets acquired = 13,000 + 17,000 = **EUR 30,000 thousand**.

Connecting to Session 11 (Intangibles) and Session 30 (previously unrecognised items): developed technology (8,000), customer relationships (5,000) and in-process R&D (2,000) may have been absent from Velquanta's own accounts because the relevant IAS38 recognition conditions were not met. Internally developed technology is not universally prohibited from recognition. In a business combination, these intangibles are recognised at fair value if they are identifiable, even if the acquiree had not previously recognised them.

Goodwill, partial goodwill method (NCI at proportionate share of net assets): using the disclosed cash consideration of EUR 48,000 thousand for the 65% stake: Goodwill = Consideration − (Ownership % × FV of net assets) = 48,000 − (65% × 30,000) = 48,000 − 19,500 = **EUR 28,500 thousand**. NCI (partial method) = 35% × 30,000 = **EUR 10,500 thousand**.

Watch out: this goodwill figure uses only the EUR 48.0 million **cash** consideration; the case also discloses a **contingent consideration (earn-out)** component (Section 6 below) whose fair value is described as "contractually capped" but is never given a specific numerical estimate in the source material. The true total consideration transferred — and therefore the true goodwill figure — would be higher once that earn-out's estimated fair value is added, per Session 30's rule that contingent consideration must be included in the acquisition cost at its fair value at the acquisition date. Treat EUR 28,500k as a cash-only floor, not the final answer, unless your instructor supplies (or asks you to estimate) a specific earn-out fair value. The case also does not disclose a tax rate or deferred tax effects on the fair value step-ups (unlike the Session 28 Alfa/Beta example) — if your instructor's version of this exercise expects deferred tax on the step-ups, apply the same DTL-on-step-up logic from Sessions 28-29 using whatever rate is supplied.

- The full-goodwill alternative (NCI at fair value rather than proportionate net assets) would require an independent fair value for the 35% NCI stake, which is not disclosed in this package — exactly the kind of additional appraisal input Session 28's Option 2 (full goodwill) worked example required.

6. Question 5 — Contingent Consideration and Acquisition Costs

- The consideration transferred comprises two elements: **cash** of EUR 48.0 million paid at completion, and **contingent consideration** (an earn-out) payable subject to Velquanta achieving specified EBITDA targets for the year ending 31 December 2025, contractually capped.

- Per Session 30's rule, the earn-out's **fair value** at the acquisition date must be included in the total consideration transferred (and hence in the goodwill calculation) — it is not simply ignored until paid, nor recognised only when/if the EBITDA targets are actually met.
- Separately, Lyradon incurred EUR 1.2 million of transaction-related costs (legal, financial and tax due diligence, valuation/advisory fees, other professional fees), explicitly stated to have been **paid separately from, and not included in,** the consideration transferred to the sellers — consistent with Session 30's rule that acquisition-related costs are expensed as incurred, never capitalised into goodwill or the consideration transferred.

7. Question 6 — Legal and Due Diligence Costs

- Following directly from Section 6: the EUR 1.2 million of legal and due diligence costs are **expensed** in the period incurred (per IFRS3, Session 30), not included in the purchase price allocation and not added to goodwill — they represent the cost of executing the transaction, not part of what was paid to acquire Velquanta's net assets.

8. Common Mistakes and Exam Traps

- Concluding that a 30% minority veto over any matter automatically means the majority shareholder lacks control — the substantive/protective distinction is what matters; veto rights confined to capital-structure/distribution decisions and rights-preservation are classically protective, not power-conferring.
- Assuming Lyradon's board majority alone proves control. All three IFRS10 elements and Alpine's potential substantive quorum blocking right must be assessed.
- Omitting the contingent consideration's fair value from the goodwill calculation, or waiting until the earn-out is actually paid/resolved to recognise it — its estimated fair value belongs in consideration transferred at the acquisition date itself.
- Capitalising the EUR 1.2 million transaction costs into goodwill — IFRS3 requires these to be expensed as incurred, a rule the case is explicitly testing via its own text ("were not included in the cash consideration transferred").
- Recognising Velquanta's internally-identified intangibles (developed technology, customer relationships, in-process R&D) at zero just because Velquanta itself never capitalised them — the acquisition accounting fair-value threshold (Session 30) overrides the acquiree's own historical (IAS38) recognition choices.
- Treating the acquisition date as the Share Purchase Agreement signing date (3 June 2024) rather than the stated completion/control-transfer date (1 July 2024) — the acquisition date is strictly when control passes.

9. Must Know Absolutely

Must know:
• Control test applied to Lyradon/Velquanta: 65% equity supports variable returns and 4-of-6 board seats support majority voting at valid meetings. Sole control and consolidation from 1 July 2024 remain conditional on resolving Alpine's quorum blocking right and confirming control transfer
• Alpine Ventures' consent rights (dividends, buybacks, capital reduction, financing >EUR50m, rights-preservation) may be protective if confined to extraordinary actions. Its separate quorum right may block ordinary board decisions and requires a substantive-rights assessment
• Fair value of net identifiable assets = book equity (13,000) + PPA fair value adjustments (PPE +3,000, developed tech +8,000, customer relationships +5,000, IPR&D +2,000, contingent liability −1,000) = 30,000 (EUR'000)
• Goodwill (partial method, cash-only) = 48,000 − 65%×30,000 = 28,500. NCI (partial method) = 35%×30,000 = 10,500. goodwill increases when the earn-out's fair value is included. NCI measured at the proportionate share of identifiable net assets remains 10,500 when the earn-out is recognised as a consideration liability
• Contingent consideration's fair value belongs in consideration transferred at the acquisition date; transaction costs (EUR 1.2m) are always expensed, never capitalised

Watch Out

Watch out: this entire case package is explicitly labelled fictional/educational ("This information package was assembled for directors, advisors, lenders and investors… The information contained herein is fictional and intended solely for educational purposes. No conclusion… should be inferred from this document"). Two numerical gaps remain genuinely open in the source: the contingent consideration's fair value, and any applicable tax rate for deferred tax on the PPA step-ups — both flagged above rather than invented. If the instructor's version of the exercise supplies these figures, redo the goodwill and deferred tax calculations accordingly.